CITY OF AUSTIN
EMPLOYEES' RETIREMENT SYSTEM
Request for Proposal (RFP)

Actuarial Services

for an Actuarial Determined Contribution (ADC) Rate Defined Benefit Plan
June 26, 2025

Deadline for Submission of Questions	On or before 5:00 PM, Central Time, July 16, 2025
Pre-Proposal Conference	Noon, Central Time, July 24, 2025
Deadline for Submission of Proposals	On or before 5:00 PM, Central Time, July 30, 2025
Bid Opening	Noon, Central Time, July 31, 2025
Committee Finalist Review	Time TBD, November 13, 2025
RFP Website	www.coaers.org/RFP
Proposal Submission Email Address	rfp@coaers.org

Contact for Inquiries

Russell Nash
Deputy Executive Director
City of Austin Employees' Retirement System
rfp@coaers.org

City of Austin Employees' Retirement System
4700 Mueller Blvd, Suite 100
Austin, TX 78723

www.coaers.org

TABLE OF CONTENTS

INTRODUCTION 4
ADMINISTRATIVE MATTERS 6
SECTION ONE - FUNDING APPROACH 9
1.1 Funding Approach in General 9
1.2 Actuarial Determined Contribution 9
1.3 Contribution Rate Corridor & ADC 2024 - 2026 10
1.4 Contribution Rate Corridor Midpoints, Maximums, and Minimums 2024 to 2053 11
1.5 Normal Cost Layers for Gains/Losses After 2022 11
1.6 Legacy Liability Payment Schedule 11
1.7 Investments 11
1.8 Experience Studies 12
1.9 Key Actuarial Assumptions 12
SECTION TWO – CORE SCOPE OF SERVICES 14
2.1 Personnel 14
2.2 Annual Actuarial Valuation (Including a Risk Sharing Valuation Study) 14
2.3 Annual GASB No. 67 Reporting and Accounting Information 15
2.4 Annual GASB No. 68 Financial Reporting Information for the City of Austin Texas 15
2.5 Annual QEBA Allocation 15
2.6 Annual Interest Rate Credited to Member Accounts Recommendation 15
2.7 Annual Financial Statement Actuarial Assistance 16
2.8 Periodic Experience Studies 16
2.9 Periodic Asset/Liability Study Assistance 16
2.10 Performance Standards - Deadlines for the Completion of Core Services 17
SECTION THREE - COAERS TERMS AND CONDITIONS 18
3.1 Contract Period 18
3.2 Annual Performance Evaluation 18
3.3 Personnel 18
3.4 Terms That Survive Termination 18
3.5 Termination 18
3.6 Confidentiality and Open Records 19
3.7 Work Made for Hire 19
3.8 Insurance 19
3.9 Indemnification 20
3.10 Applicable Law and Venue 20
3.11 No Waiver of Sovereign Immunity 20
3.12 Independent Contractor 20
3.13 Patent, Trademark, Copyright and Other Infringement Claims 20
3.14 Supporting Documents, Retention, Right to Audit 21
3.15 Cooperation with Actuarial Audit 21
3.16 No Conflicts 21
3.17 Financial Interests; Gifts 22

SECTION FOUR - PROPOSAL DEADLINES, MEETINGS, FORMAT & INFORMATION....23
4.1 Schedule of Events....23
4.2 Revisions to Event Deadlines & Dates....23
4.3 Proposer Registration....23
4.4 Pre-Proposal Conference....23
4.5 Proposal Submission....23
4.6 Proposal Format....24
4.7 Inquiries....24
4.8 Proposal Evaluation and Award Process....24
4.9 Proposal Evaluation Criteria....25
4.10 Presentations/Visits....25
4.11 Final Selection....25
4.12 Post Contract Point of Contact....26
EXHIBIT A - PROPOSAL SUBMISSION SHEET....27
EXHIBIT B - CONFLICT OF INTEREST QUESTIONNAIRE....28
EXHIBIT C - RESPONDENT CONTACT INFORMATION....29
EXHIBIT D - TRADE SECRET ACKNOWLEDGEMENT....30
EXHIBIT E - PROFESSIONAL STAFF INFORMATION....31
EXHIBIT F - FIRM QUESTIONNAIRE....32
EXHIBIT G - SCOPE OF SERVICES ACKNOWLEDGEMENT....35
EXHIBIT H - COST PROPOSAL....36
EXHIBIT I - RESPONDENT'S PROPOSAL FORMAT AND REQUIREMENTS....37
PROPOSAL CHECKLIST....39

INTRODUCTION

Purpose
The objective of this solicitation is to evaluate the services and pricing for full scope actuarial services provided by qualified firms that abide by the Code of Professional Conduct published by the American Academy of Actuaries.

Term of the Engagement
COAERS seeks to negotiate and execute a five-year Master Services Agreement containing material terms, with Engagement Letters executed prior to each calendar year's work describing any agreed-upon additional or different terms under which the Respondent will provide that year's services. Engagement letters are due no later than October 1st prior to the beginning of the calendar year to which it applies.

The successful Respondent will be contractually bound for the following five-year term:

- January 1, 2026 through December 31, 2026,
- January 1, 2027 through December 31, 2027,
- January 1, 2028 through December 31, 2028,
- January 1, 2029 through December 31, 2029, and
- January 1, 2030 through December 31, 2030.

How to Find Important Documents Related to this RFP
Important information related to this RFP can be found at www.coaers.org/RFP. The information you will find at this website includes the following:

- Proposer Registration
- Actuarially Determined Contribution Rates & Corridor
- Schedule of Legacy Liability Payments
- December 31, 2024 Actuarial Experience Study
- December 31, 2024 Risk Sharing Valuation Report
- GASB 67 Sample Report
- GASB 68 Sample Report
- Sample Interest Credit Recommendation Letter
- Sample QEBA Allocation Letter
- Investment Return Reasonableness Memo
- Letter to Auditor – Firm Independence
- COAERS & City of Austin Joint Funding Policy
- COAERS Benefit Administration Policy
- Actuarial Census Data Format and File Layout
- COAERS Statutes

Timeline for Submitting a Proposal

Deadline for Submission of Questions	On or before 5:00 PM, Central Time, July 16, 2025
Pre-Proposal Conference	Noon, Central Time, July 24, 2025
Deadline for Submission of Proposals	On or before 5:00 PM, Central Time, July 30, 2025

Pre-Proposal Conference

A pre-proposal conference is scheduled for Noon, Central Time, July 24, 2025. Attendance at the pre-proposal conference is not mandatory. The pre-proposal conference will be held virtually. Instructions for remote participation will be posted to the COAERS website at www.coaers.org/RFP. Questions about the RFP shall be submitted in writing to Russell Nash, Deputy Executive Director by email to rfp@coaers.org on or before 5:00 p.m. Central Time, July 16, 2025. COAERS will officially respond to all questions in writing after the pre-proposal conference.

Bid Opening

COAERS will conduct a public bid opening meeting at Noon, Central Time, on July 31, 2025. At the bid opening, firm names that responded to this RFP will be read aloud. This meeting will be held virtually. Information about the public bid opening meeting will be posted at www.coaers.org/RFP.

Presentations to COAERS

Respondents should be prepared to travel to Austin, Texas for a presentation during the evaluation process for this RFP. During the presentation, Respondent's staff will discuss their services and be available for questions. The presentation will last approximately one and one-half hours and be conducted at no cost to COAERS. Not all Respondents may be asked to make a presentation.

Prohibited Communications/No Contact Period

From the RFP release date until COAERS formally selects the successful Respondent, Respondents shall not contact COAERS Board Members (listed below) concerning this RFP or the resulting contract. All communications must be directed to rfp@coaers.org. Any other communication could be considered attempts to lobby or market services and is therefore prohibited. Firms will be disqualified from contractual consideration if this prohibition is not honored. This section does not prohibit communications that are part of a COAERS Board or Committee meeting or pertain to an existing business relationship between COAERS and the Respondent.

- Ms. Diana Thomas, Chair
- Mr. Dick Lavine, Vice-Chair
- Mr. Michael Benson, Benefits & Services Committee Chair
- Ms. Krista Laine
- Ms. Kelly Crook
- Mr. Michael Granof
- Mr. Ed Van Eenoo
- Mr. Ben Ellinor
- Mr. Chris Noak
- Ms. Yuejiao Liu
- Mr. Anthony B. Ross, Sr.

ADMINISTRATIVE MATTERS

Type of Entity

The City of Austin Employees' Retirement System (COAERS) is a single employer governmental defined benefit retirement system originally established in 1941 by City ordinance and governed since 1991 by Texas statute (Vernon's Ann.Texas Civ.St. Art. 6243n). COAERS is qualified under Section 401(a) of the Internal Revenue Code.

COAERS Board of Trustees

The COAERS Board of Trustees is vested with the statutory power and responsibility for the proper and effective general administration, management, and operation of the retirement system for the exclusive benefit of its present and future members and beneficiaries. The Board consists of 11 members comprised of City of Austin officials, employees, retirees, and citizens.

Participating Employers

Two employers participate in the Plan, the City of Austin Texas with over 17,000 active and deferred members and 7,100 retirees and the City of Austin Employees Retirement System staff with 38 active and deferred members and 13 retirees.

Authority for Actuarial Services

The COAERS Board of Trustees has statutory authority for the selection of an actuary. The statute states the Board of Trustees shall designate an actuary who shall be the technical advisor of the retirement board regarding the maintenance and operations of the fund but not an investment advisor or fiduciary with respect to any investments of the fund. The statute directs the actuary to perform valuations of the assets and liabilities of the fund.

Actuarial Determine Contribution Plan

COAERS is an actuarial determined contribution (ADC) rate plan in which, each year, the actuary determines the normal cost of the plan as a percentage of pay adjusting for the administrative expense and any liability layers established after December 31, 2022. The total normal cost of the plan is then forecasted for the upcoming year. The forecasted normal cost is reduced by the employee contribution rate to yield the upcoming years' employer contribution rate. The statutory requirements for the plan, including the determination of the ADC, can be found in the COAERS statutes at TX CIV ST Art 6243n.

Benefits & Services Committee

The COAERS bylaws have created a Benefits and Services Committee of the Board which assists the Board in fulfilling its fiduciary oversight responsibilities for actuarial valuations, experience studies, and special types of actuarial analysis.

Key Staff, Audit, and Investment Contacts

The key COAERS staff members for this relationship are identified below:

- Executive Director, Mr. Christopher Hanson
- Deputy Executive Director, Mr. Russell Nash
- Chief Benefits Officer, Ms. Teresa Cantu
- Chief Financial Officer, Ms. Yun Quintanilla
- Controller, Ms. Candace Nolte
- Chief Investment Officer, Mr. David Kushner

Audit services are currently provided to COAERS by CliftonLarsonAllen (CLA). The primary CLA contact is Ms. Bhakti Patel.

Investment consulting services are provided by Meketa Investment Group. The primary COAERS contact at Meketa is Mr. Leo Festino.

OPEB Responsibilities

COAERS does not administer Other Postemployment Benefits (OPEB) for its members. These benefits are provided and administered by the City of Austin Texas.

Fiscal Year

Our fiscal year is January 1 through December 31.

Annual Comprehensive Financial Report

COAERS prepares an Annual Comprehensive Financial Report (ACFR) each year by using internal staff. COAERS staff prepares the Financial Statements, Management's Discussion and Analysis, Notes to the Financial Statements, and Schedules. The Risk Sharing Valuation Study, created by the actuary, is currently included as a part of each year's ACFR. The actuary also prepares a report for the ACFR that meets the requirements of GASB Statement No. 67 and a report for the City of Austin Texas that meets the requirements of GASB Statement No. 68.

COAERS is not included in any other governmental "reporting entity" as defined by the Governmental Accounting Standards Board (GASB). The System has no component units and is not a component unit of any other entity.

Locations

COAERS' administrative office is located at 4700 Mueller Boulevard in Austin Texas.

Financial Computer Systems/Applications

Microsoft Dynamics GP (Great Plains) is the accounting application used by COAERS to track all general ledger activity, produce financial statements, and create reports. PensionGold Version 3, a product of Levi, Ray, and Shoup, is the pension administration application used for actuarial census data, participant recordkeeping, benefit claims, and benefits payroll.

SECTION ONE - FUNDING APPROACH

1.1 Funding Approach in General

COAERS is an actuarial determined contribution (ADC) rate plan in which, each year, the actuary determines the normal cost of the plan as a percentage of pay adjusting for the administrative expense and amortization of any gain/loss layers ("liability layers) established after December 31, 2022. The total normal cost of the plan is then forecasted for the upcoming year. The forecasted normal cost is reduced by the employee contribution rate to yield the upcoming years' employer contribution rate. An existing amortization schedule of fixed payments, called Legacy Liability payments, has also been created to retire the plan's Unfunded Actuarial Accrued Liability. The plan sponsor is required by law to make the required Legacy Liability payments in addition to the employer's contribution each year.

COAERS' strategic funding objective is to meet the long-term pension obligations promised to all members of the plan. To meet this objective, COAERS has put in place a set of policies and legislative requirements to:

1. Establish a fixed payment schedule to pay off the Unfunded Actuarial Accrued Liability (UAAL) over a fixed, closed 30-year period, known as the Legacy Liability.
2. Conduct annual actuarial valuations, which include a Risk Sharing Valuation Study (RSVS), to determine the ADC rate for the upcoming year for the employers participating in the plan (See TX CIV ST Art. 6243n for a full description of the state statute detailing the Risk Sharing Valuation Study).
3. Monitor the employer's contribution rate relative to the expected future trajectory of the rate, known as a corridor midpoint.
4. If the employer portion of the ADC exceeds the corridor maximum (5% of pay above the corridor midpoint), take action to increase employee contributions up to the 2% maximum, and discuss future changes to the Plan if the ADC exceeds the employer and employee maximums.
5. Periodically conduct Actuarial Experience Studies to review and adopt the assumptions and methods used to determine the cost of the promised benefits. State law requires Experience Studies to perform no less than every five years. The last Experience Study was conducted as of December 31, 2024.

1.2 Actuarial Determined Contribution

COAERS is an actuarially determined contribution (ADC) rate plan. The ADC is comprised of the normal cost and the administrative expense assumption adjusted for the amortization of any liability layers expressed as a percentage of pay. COAERS uses the Entry Age Normal actuarial cost method to develop the normal cost for each benefit component – retirement, termination, disability, etc. The administrative expense assumption is currently .70% of pay.

In determining the future contribution rate, the actuary also determines if any adjustments are needed for gains or losses by way of additional liability layers. Such layers have already been established for 2023 and 2024 and will continue to be calculated each subsequent year. Future

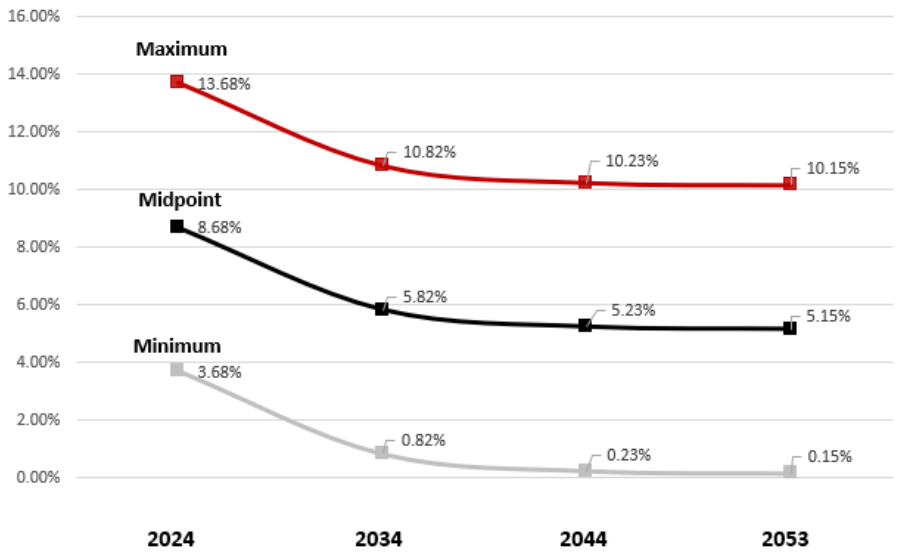
actuarial losses are converted to a percentage of payroll, amortized, and the layer added to the normal cost. Future actuarial gains are converted to a percentage of payroll, amortized, and the layer subtracted from the normal cost. Based upon the result, the actuary then projects the normal cost for the future upcoming calendar year, and the employee contribution rate is subtracted to yield the employer contribution rate for the upcoming year.

In addition, a model of future expected employer contribution rates has also been established to help COAERS determine a range of future acceptable employer contribution rates. An Initial Risk Sharing Valuation Study (RSVS) was performed as of December 31, 2022 establishing a contribution rate corridor. The corridor has a midpoint which is the expected future trajectory of the employer contribution rate. Additionally, a minimum and a maximum employer contribution rate were also set at 5% of pay above and 5% of pay below the midpoint. This corridor provides COAERS with a range of possible future employer contribution rates. The contribution corridor is used to trigger important subsequent events. First, if the ADC would cause the employer contribution rate to exceed the corridor's maximum contribution rate, then the employee contribution rate will have to increase accordingly. The increase would be added to the 10% current employee contribution rate up to an additional 2% of payroll to cover the shortfall. Second, if ADC exceeds the additional 2% of pay from the employees, then COAERS and the City of Austin must enter into discussions to come up with a plan to address the funding and the expense of the Plan. Finally, if the ADC is lower than the corridor midpoint, the employer contribution will remain at the corridor midpoint so long as the funded ratio is below 90%.

1.3 Contribution Rate Corridor & ADC 2024 - 2026

Fiscal Year Ending	Corridor Minimum	Corridor Midpoint	Corridor Maximum	ADC
December 31, 2024	3.68%	8.68%	13.68%	8.68%
December 31, 2025	2.44%	7.44%	12.44%	8.47%
December 31, 2026	2.21%	7.21%	12.21%	10.05%

1.4 Contribution Rate Corridor Midpoints, Maximums, and Minimums 2024 to 2053



1.5 Normal Cost Layers for Gains/Losses After 2022

Gains and losses realized after 2022, create new amortization layers adjusting the normal cost and have the same amortization period as the Legacy Liability until the remaining period for the Legacy Liability is less than 20 years. When the remaining amortization period of the Legacy Liability is less than 20 years, new layers will be amortized over a closed 20-year period.

1.6 Legacy Liability Payment Schedule

The RSVS performed as of December 31, 2022 created a Legacy Liability amortization schedule which establishes the payments the City of Austin is to contribute in addition to the ADC each year to retire the unfunded actuarial accrued liability. The entire schedule of Legacy Liability payments can be found at www.coaers.org/RFP.

1.7 Investments

As of March 31, 2025, COAERS held investments with fair value totaling $3.5 billion. The Board has found it prudent to diversify both across and within the major asset classes to construct a portfolio that delivers strong compound returns on a long-term, risk-adjusted basis. The Board recently adopted a new strategic asset allocation as shown below. Note however, that it is expected to take some time to ramp up the private market's elements of the new strategic asset allocation.

Asset Class	Minimum	Neutral	Maximum
Global Equities	38%	45%	52%
Private Equity	5%	8%	10%
Real Assets	12%	15%	19%
Private Credit	7%	10%	13%
Fixed Income	18%	21%	28%
Cash & Equivalents	0%	1%	10%

Investments are made with care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims. Funds of COAERS are invested solely in the interest of the membership and their beneficiaries, and for the exclusive purpose of providing benefits to such membership and their beneficiaries while defraying reasonable expenses of administering COAERS.

The Board of Trustees has established an Investment Policy Statement and related guidelines for the administration of the investment program. Moreover, an Investment Committee has been chartered to assist the Board with research, recommendations, and monitoring of the investment portfolio. Investment consulting services are provided by the Meketa Investment Group and COAERS employs four professionals to oversee day-to-day implementation activities of the investment portfolio.

1.8 Experience Studies

COAERS believes that a periodic review of our actuarial assumptions is crucial to understanding and managing the cost of the benefits promised to members of COAERS. The use of outdated or inappropriate assumptions can result in understated costs which will lead to higher future contribution rates; or overstated costs which place an unnecessary financial burden on the City of Austin and its employees. Accordingly, COAERS conducts experience studies every five years. During each experience study, each assumption is reviewed and compared to the actual experience of the plan with consideration of adding in a slight margin for adverse experience. Then the assumptions, as a whole, are reviewed for reasonableness and consistency. COAERS recently reviewed its actuarial assumptions based on census data as of December 31, 2024. Certain key assumptions are listed below. A full discussion of the assumptions can be found in the Experience Study Report at www.coaers/RFP.

1.9 Key Actuarial Assumptions

Below are key actuarial assumptions used in the RSVS as of December 31, 2024.

Price inflation	2.50%
Investment return	6.75% comprised of 2.50% inflation and 4.25% real return net of investment-related expenses
Wage inflation component of the salary scale	1.25%
Ultimate salary scale assumption	3.75% 50 basis point increases to the service-based rates
Payroll growth assumption	3.50%

Administrative expense	0.70% of payroll
Base mortality	Healthy retiree mortality tables published in the Pub-2010 Public Retirement Plans Mortality Tables Report for general employees (PubG-2010).
Mortality Improvement	Ultimate mortality rates of the most recently published MP table MP-2021

SECTION TWO – CORE SCOPE OF SERVICES

Respondents will use Exhibit H to provide an annual fixed price for the core scope of services as described in this section for each year of the five-year term. All other services provided will be priced as agreed to by COAERS by an annual Engagement Letter at the time of the request during the contract.

2.1 Personnel

All services provided for the scope of services described herein must be performed under the direct supervision of a Supervising Actuary who have been regularly engaged in the business of providing actuarial services for at least 10 years and must have the designation of either an Associate or Fellow of the Society of Actuaries and/or Member of the American Academy of Actuaries. The Supervising Actuary must approve all the work provided to COAERS. The Respondent will identify the Supervising Actuary in its response.

2.2 Annual Actuarial Valuation (Including a Risk Sharing Valuation Study)

a) Description of Work:
   1) Measurements using the following actuarial methods:
      i) Entry Age Normal Cost method will be used to allocate the cost of accruing benefits as a level percentage of pay over the period from the member's entry into the plan until termination or retirement;
      ii) Five-year smoothing method asset method which recognizes 20% of the differences between expected and actual investment income in the current and each subsequent year, with offsetting unrecognized gains and losses immediately recognized; and a
      iii) A declining 30-year amortization period to determine the payments on new liability layers until reaching 20-years, thereafter, using closed 20-year layers. The aggregate funding period for the system is the weighted average of the amortization layers. The goal is to eliminate negative amortization as soon as possible, but negative amortization is expected to continue until the Legacy Liability payoff schedule reaches 20 years.
   2) The RSVS will include:
      i) An Executive Summary;
      ii) Discussion of the following at a minimum:
         (1) Actuarially Determined Contribution Corridor;
         (2) Calculated Actuarially Determined City Contribution Rate;
         (3) Projection of Remaining Legacy Liability and Legacy Liability Payments;
         (4) Liability (Gain)/Loss Layers;
         (5) Funded status of the Plan;
         (6) Change in Assets;
         (7) Actuarial Gains and Losses;
         (8) An assessment of Disclosure of Risk Associated with Measuring Pension Obligations
         (9) Disclosure of Actuarial Methods and Assumptions

(10) Actuarial and Statistical Tables;
(11) Definition of Terms; and

iii) Other requirements mandated by the Actuarial Standards of Practice (American Academy of Actuaries) and/or the Government Accounting Standards Board.

(b) Prework. Respondent will load, review, and reconcile census data provided for the valuations. COAERS will provide the Respondent with data and information to perform valuations and other services, provided the data is available and in COAERS' records. Respondent must provide a secure method of transferring electronic information. Contractor will review the census data and test it for reasonableness disclosing any irregularities to the COAERS staff. If Respondent omits information or categorizes information differently than in original census files, vendor must reconcile and disclose that reconciliation to COAERS prior to the issuance of the valuation. Respondents should review the census data formats located at www.coaers.org/RFP for the file format and description of the current census data files. Respondent must be able to receive and use the existing files and formatting.

(c) Travel & Formal Presentation. Respondent will provide one in-person presentation discussing the Actuarial Valuation including the Risk Sharing Valuation for the COAERS Benefits & Services Committee one time per year in Austin, Texas.

2.3 Annual GASB No. 67 Reporting and Accounting Information

(a) Description of the Work. Respondent will annually provide GASB Statement No. 67 Plan Reporting and Accounting Schedules in Attachment 2 "Minimum Content for Valuation & Financial Reporting" (www.coaers/RFP) at a minimum. GASB Statement No. 67 will be due no later than April 15th of any given year.

(b) Travel & Formal Presentation. None.

2.4 Annual GASB No. 68 Financial Reporting Information for the City of Austin Texas

(a) Description of the Work. Respondent will annually provide financial reporting information for City of Austin Texas as determined in accordance with GASB Statement No. 68 to include items listed in Attachment 2 "Minimum Content for Valuation & Financial Reporting" (www.coaers/RFP) at a minimum. GASB Statement No. 68 will be due no later than April 15th of any given year.

(b) Travel & Formal Presentation. None.

2.5 Annual QEBA Allocation

(a) Description of the Work. Respondent will perform calculations upon request to determine IRC §415(b) limits and allocate a portion of an annuitant's monthly benefit between the Plan's Trust and COAERS' Qualified Excess Benefits Arrangement (QEBA). Respondent should estimate performing this calculation for no more than 50 individuals over the life of the contract (current count is 13).

(b) Travel and Formal Presentation. None.

2.6 Annual Interest Rate Credited to Member Accounts Recommendation

(a) Description of the Work. Annually, Contractor will provide a letter to the Board of Trustees providing the recommended rate of interest to apply to member accounts.

(b) Prework. The Contractor will use the guidelines set forth in Attachment 12, Board Approved Policy I-3 "Interest Allocation Determination" (www.coaers.org/RFP) to establish a recommended rate of interest.
(b) Travel & Formal Presentation. None.

2.7 Annual Financial Statement Actuarial Assistance
(a) Description of the Work. Annually, the Respondent will provide the following information to COAERS' financial statement auditor:

1) Investment Return Assumption Reasonableness Memo; and a
2) Letter to COAERS auditor certifying certain information and describing your independence from COAERS.

(b) Travel & Formal Presentation. None.

2.8 Periodic Experience Studies
(a) Description of the Work. At least once, on or before December 31, 2029, Respondent will perform an Experience Study reviewing all current actuarial assumptions and methods and comparing to actual recent experience and, where appropriate, proposing modifications to the assumptions to better reflect future, anticipated experience. Respondent will perform this requirement in accordance with generally accepted actuarial principles and practices, and in full compliance with the Actuarial Standards of Practice as issued by the Actuarial Standards Board. Respondent will provide an Experience Study report which discusses the findings and recommendations for each actuarial assumption; and recommendations for the actuarial methods. Respondent will also assess the administrative impact due to assumption changes and notify the Board and staff of the same and provide information, calculations, or actuarial equivalence approaches necessary to implement changes to the following: Service Purchase Calculations, Partial Lump Sum Calculations, Early Retirement Reduction Factors, Joint & Survivor Annuity Factors, Internal Revenue Code Section 415 Limitations, and Recalculations of Retirement Benefits for Retirees Who Returned To Work.
(b) Travel & Formal Presentation. Respondent will travel to Austin Texas on two separate occasions to provide a presentation for the COAERS Benefits & Services Committee and for the full Board of Trustees meeting.

2.9 Periodic Asset/Liability Study Assistance
(a) Description of the Work. At least once, prior to December 31, 2030, Respondent will provide assistance and information to the COAERS Investment Consultant, in order to perform an Asset/Liability Study. Respondent will provide information necessary to COAERS investment consultant to assist with projections of the plan's asset and liability values, funded status, benefit payments, and liquidity needs.
(b) Travel & Formal Presentation. None.

2.10 Performance Standards - Deadlines for the Completion of Core Services

Respondents will provide the following deliverables on or before the following deadlines:

Annual Deliverables	Annual Deadlines
	On or before 5PM Central, the last business day of the:
Actuarial Census Data	
COAERS to provide actuarial census data	*First week in January*
Respondent's list of questions/reconciling items to COAERS	Third week in January
QEBA Allocation to COAERS	Second week in January
COAERS to provide Year End Financial Statements	*First week in February*
Actuarial Valuation Services (Including a Risk Sharing Valuation Study)	
PowerPoint Presentation for the Benefits & Services Committee	Fourth week in February
In-person presentation to the Benefits & Services Committee (Austin TX)	First week in March
Final Risk Sharing Valuation Study Document	Second week in April
Financial Statement Actuarial Assistance	First week in April
GASB Statement No. 67 Reporting & Accounting Information	Second week in April
GASB Statement No. 68 Financial Reporting Information for the City of Austin	Second week in April
Interest Rate Credited to Member Accounts Recommendation Letter	First week of December

Periodic Deliverables	Deadlines
	On or before 5PM Central, the last business day of the:
Experience Study	
PowerPoint Presentation for the Benefits & Services Committee	Fourth week in February 2030
In-person presentation to the Benefits & Services Committee (Austin TX)	First week in March 2030
Final Experience Study Report	Second week in April 2030
Assistance for Asset/Liability Study	To be determined

SECTION THREE - COAERS TERMS AND CONDITIONS

Any Contract awarded as a result of this RFP will contain the general terms and conditions listed below in this Section. Subcontractors are also obliged to comply with these provisions.

3.1 Contract Period
The services requested shall be provided for a term of five years beginning January 1, 2026 and ending December 31, 2030.

3.2 Annual Performance Evaluation
Contractor shall designate at least one employee to, at least once per year during the Contract Period, attend a performance evaluation meeting with the Board. Contractor will also complete a Questionnaire annually as well at Contractor's expense prior to that meeting.

3.3 Personnel
Contractor shall assign only qualified personnel to this Contract. Contractor, in its reasonable discretion, reserves the right to substitute appropriate key personnel to accomplish its duties so long as the substituted personnel are equally qualified and skilled in the tasks necessary to accomplish the tasks and services required. Contractor shall provide to COAERS written notice of any proposed change in key personnel involved in providing services under this Contract. COAERS prefers that no subcontractor provide services under this agreement. Contractor will request prior written approval from the COAERS Executive Director for a subcontractor to provide services under the Contract.

3.4 Terms That Survive Termination
Notwithstanding the termination or expiration of this Contract, the provisions of this Contract regarding confidentiality, indemnification, transition, records, right to actuarial and independent actuarial, property rights, dispute resolution, invoice and fees verification, and default shall survive the termination or expiration dates of this Contract.

3.5 Termination
This Contract may be terminated by either Party if (1) the other party breaches any provision hereunder and fails to cure said breach within thirty (30) days after receipt of written notice thereof from the non-breaching Party, or (2) upon at least thirty (30) days written notice. Notwithstanding anything contained herein to the contrary, COAERS may terminate this Contract without cause, which termination will be effective upon the thirtieth (30th) day following written notice. Upon termination of this Agreement, Contractor will be entitled to payment of all non-cancellable, actually incurred expenses and costs incurred to the effective date of termination, and a pro rata portion of the compensation pursuant to the Services performed through the effective date of termination, and Contractor will return to COAERS all information (including confidential information) in its possession.

3.6 Confidentiality and Open Records

Contractor agrees to maintain the confidentiality of information received from COAERS during the performance of this Contract, including Protected Health Information, information which discloses confidential personal information, and information made confidential under Section 13, Article 6243n, Tex. Revised Civil Statutes. Notwithstanding any provisions of this Contract to the contrary, Contractor understands that COAERS will comply with the Texas Public Information Act, Government Code, Chapter 552 as interpreted by judicial opinions and opinions of the Attorney General of the State of Texas. COAERS agrees to notify Contractor in writing within a reasonable time from receipt of a request for information related to Contractor's work under this contract. Contractor will cooperate with COAERS in the production of documents responsive to the request. COAERS will make a determination whether to submit a Public Information Act request to the Attorney General. Contractor will notify COAERS General Counsel within twenty-four (24) hours of receipt of any third-party requests for information that was provided by the State of Texas for use in performing the Contract. This Contract and all data and other information generated or otherwise obtained in its performance may be subject to the Texas Public Information Act.

3.7 Work Made for Hire

All final reports, studies, calculations, statistical analyses, or other property developed, produced, or generated in connection with this relationship is the exclusive property of COAERS. All right, title and interest in and to said property shall vest in COAERS upon creation and shall be deemed to be a work for hire and made in the course of the services rendered pursuant to this relationship. To the extent that title to any such work may not, by operation of law, vest in COAERS, or such work may not be considered a work made for hire, all rights, title, and interest therein are hereby irrevocably assigned to COAERS. COAERS shall have the right to obtain and to hold in its name any and all patents, copyrights, registrations, or such other protection as may be appropriate to the subject matter, and any extensions and renewals thereof. Contractor must give COAERS, as well as any person designated by COAERS, all assistance required to perfect the rights defined herein without any charge or expense beyond those amounts payable to Contractor for the services rendered under this Contract. All work made for hire shall be provided to COAERS for storage and retention upon request.

3.8 Insurance

Throughout the duration of this Agreement, Contractor will maintain insurance on an occurrence basis, primary and non-contributory, for the following types of coverage:

1. Errors and Omissions
2. Commercial General Liability
3. Automobile Liability
4. Workers Compensation

Within ten (10) business days of executing an agreement, Contractor will provide COAERS with current certificates of insurance, naming COAERS as an additional insured for each type of insurance. Any insurance maintained by COAERS shall apply in excess of and not contribute with

insurance provided by policies named in this Agreement. Contractor will notify COAERS of a material change or cancellation of any policy, within thirty (30) calendar days of the event. Contractor represents and warrants that all the insurance coverage is with licensed companies with "A" rating from AMBest and authorized to provide the corresponding coverage.

3.9 Indemnification

Contractor shall defend, indemnify, and hold harmless COAERS, its officers, and contractors, completely from and against all claims, actions, suits, demands, proceedings, costs, damages, and liabilities, including without limitation attorneys' fees and court costs, arising out of, connected with, or resulting from any acts or omissions of contractor or any agent, employee, subcontractor, supplier, or service provider of contractor in the execution or performance of this contract. This paragraph is not intended to and shall not be construed to require contractor to indemnify or hold harmless COAERS for any claims or liabilities resulting from the negligent acts or omissions of COAERS or its employees.

3.10 Applicable Law and Venue

This Contract shall be governed by and construed in accordance with the laws of the State of Texas, without regard for its conflict of laws provisions. The venue of any suit arising under this Contract is fixed in any court of competent jurisdiction of Travis County, Texas.

3.11 No Waiver of Sovereign Immunity

Nothing in this Contract shall be construed as a waiver of the sovereign immunity afforded an organization created by Texas state statute. This Contract shall not constitute or be construed as a waiver of any of the privileges, rights, defenses, remedies, or immunities available to COAERS. The failure to enforce, or any delay in the enforcement, of any privileges, rights, defenses, remedies, or immunities available to COAERS under this Contract or under applicable law shall not constitute a waiver of such privileges, rights, defenses, remedies, or immunities or be considered as a basis for estoppel. COAERS does not waive any privileges, rights, defenses, or immunities available to COAERS by entering into this Contract or by its conduct prior to or subsequent to entering into this Contract.

3.12 Independent Contractor

Contractor or Contractor's employees, representatives, agents, and any subcontractors shall serve as an independent contractor in providing the services under any purchase order resulting from this RFP. Contractor or Contractor's employees, representatives, agents, and any subcontractors shall not be employees of COAERS. Should Contractor subcontract any of the services required in this RFP, Contractor expressly understands and acknowledges that in entering into such subcontract(s), COAERS is in no manner liable to any subcontractor(s) of Contractor. In no event shall this provision relieve proposer of the responsibility for ensuring that the services rendered under all subcontracts are rendered in compliance with this RFP.

3.13 Patent, Trademark, Copyright and Other Infringement Claims

Contractor shall indemnify, save, and hold COAERS harmless from and against claims of patent, trademark, copyright, trade secret or other proprietary rights, violations or infringements arising

from the COAERS or Contractor's use of or acquisition of any services or other items provided to COAERS by Contractor. Contractor shall reimburse COAERS for any claims, damages, losses, costs, expenses, judgments, or any other amounts, including, but not limited to, attorneys' fees and court costs, arising from any such claim. Contractor shall pay all reasonable costs of the COAERS counsel and shall also pay costs of multiple counsel, if required to avoid conflicts of interest. Contractor represents that it has determined what licenses, patents and permits are required under this Contract and has acquired all such licenses, patents, and permits.

3.14 Supporting Documents, Retention, Right to Audit

Contractor shall maintain and retain supporting fiscal and any other documents relevant to showing that any payments under this Contract were expended in accordance with the laws and regulations of the State of Texas. Contractor shall maintain all such documents and other records relating to this Contract for a period of four years after the date of submission of the final invoices or until a resolution of all billing questions, whichever is later. Contractor shall make available at reasonable times and upon reasonable notice, and for reasonable periods, all documents and other information related to work performed for COAERS. Contractor must retain all work and other supporting documents pertaining to this Contract, for purposes of inspecting, monitoring, auditing, or evaluating by COAERS, or its agent.

3.15 Cooperation with Actuarial Audit

Contractor shall participate in an actuarial audit conducted by the City of Austin Texas pursuant to Texas Government Code § 802.1012. Accordingly, Contractor shall make available at reasonable times and upon reasonable notice, and for reasonable periods, all documents and other information related to work performed for COAERS to the actuarial firm selected by the City of Austin Texas to perform this actuarial audit.

3.16 No Conflicts

Contractor represents and warrants that Contractor has no actual or potential conflicts of interest in providing services to COAERS under this Contract and that Contractor's provision of services under this Contract would not reasonably create an appearance of impropriety. See Exhibit B for a Conflict of Interest Questionnaire. Current trustees, local government officers, and employees involved in the review of proposals are as follows:

- Ms. Diana Thomas, Chair
- Mr. Dick Lavine, Vice-Chair
- Mr. Michael Benson, Benefits & Services Committee Chair
- Ms. Krista Laine
- Ms. Kelly Crook
- Mr. Michael Granof
- Mr. Ed Van Eenoo
- Mr. Ben Ellinor
- Mr. Chris Noak
- Ms. Yuejiao Liu
- Mr. Anthony B. Ross, Sr.
- Mr. Christopher Hanson
- Mr. Russell Nash
- Mr. David Kushner
- Ms. Teresa Cantu
- Ms. Yun Quintanilla
- Ms. Candace Nolte

3.17 Financial Interests; Gifts

Contractor represents and warrants that neither Contractor nor any person or entity that will participate financially in this Contract has received compensation from COAERS or any agency of the State of Texas for participation in preparation of specifications for this Contract. Contractor represents and warrants that it has not given, offered to give, and does not intend to give at any time hereafter, any economic opportunity, future employment, gift, loan, gratuity, special discount, trip, favor or service to any public servant or employee in connection with this Contract.

Texas law requires a person who contracts or seeks to contract with the local governmental entity to file a questionnaire disclosing the person's affiliation and business relationship with each member of the governing body and executive officers of the entity. You should review the rules regarding this disclosure. Then your organization will need to determine if you should complete and include Exhibit B with your proposal. You can find a listing of COAERS Trustees and staff in our Annual Comprehensive Financial Reports found on our website at www.coaers.org. COAERS will not be able to give you an opinion as to whether or not you should submit Exhibit B.

3.18 Professional Standards

Contractor and all actuaries performing work under this Agreement must abide by the Code of Professional Conduct adopted by the American Academy of Actuaries, the American Society of Pension Actuaries, the Casualty Actuarial Society, the Conference of Consulting Actuaries, and the Society of Actuaries. Furthermore, Contractor and all actuaries performing work under this Agreement must abide by applicable law and rules of professional conduct for the jurisdictions in which the actuary renders actuarial services performed under this Agreement.

3.19 Choice of Law

This Agreement and all matters and claims arising out of or relating thereto shall be governed by, construed, and enforced in accordance with the internal substantive and procedural laws of the State of Texas as they presently exist or may hereafter be amended, without regard to conflict of laws principles. The venue of any suit arising under this agreement is fixed in any court of competent Jurisdiction of Travis County, Texas.

SECTION FOUR - PROPOSAL DEADLINES, MEETINGS, FORMAT & INFORMATION

4.1 Schedule of Events
The solicitation process for this RFP will proceed according to the following schedule:

Deadline for Submission of Questions	On or before 5:00 PM, Central Time, July 16, 2025
Pre-Proposal Conference	Noon, Central Time, July 24, 2025
Deadline for Submission of Proposals	On or before 5:00 PM, Central Time, July 30, 2025
Bid Opening	Noon, Central Time, July 31, 2025
Committee Finalist Review	Time TBD, November 13, 2025

4.2 Revisions to Event Deadlines & Dates
COAERS reserves the right, at its discretion, to change the dates and times in the schedule of events.

4.3 Proposer Registration
Proposers can register with COAERS as potential respondents to the RFP. Registration has no legal consequence. It does not legally bind your organization or COAERS nor does it create any enforceable promises. It simply allows COAERS to notify your organization of information about the RFP and the RFP process. Proposer registration forms can be found on our website at www.coaers.org/RFP.

4.4 Pre-Proposal Conference
A pre-proposal conference is scheduled for Noon, Central Time, July 24, 2025. The pre-proposal conference will be conducted virtually. Attendance at the pre-proposal conference is not mandatory. Registered proposers will be provided instructions for participation. Questions about the RFP shall be submitted in writing to Russell Nash, Deputy Executive Director by email to rfp@coaers.org on or before 5:00 p.m. Central Time, July 16, 2025. COAERS will respond to all questions in writing after the pre-proposal conference.

4.5 Proposal Submission
(a) Respondents shall submit **one electronic original of the Proposal**. Proposal pages should be numbered and contain an organized, paginated table of contents corresponding to the parts and pages of the Proposal.
(b) Respondents to this RFP are responsible for all costs of this Proposal including preparation, submission, and travel.
(c) COAERS will not consider any Proposal that bears a copyright. Proposals shall be subject to the Texas Public Information Act, Tex. Government Code, Chapter 552, and may be disclosed to the public upon request. Subject to the Act, Respondents may protect trade and confidential information from public release. Trade secrets or other confidential information, submitted as part of a Proposal, shall be clearly marked “Trade Secret” or “Confidential” on each page it appears. Such marking shall be in boldface type at least 14-point font. It is Respondent’s responsibility to appropriately mark the RFP. Respondents will also complete and provide Exhibit D with their proposal.

(d) All Proposals shall be received via email with a received date on or before 5:00 p.m., Central Time, July 30, 2025**. One electronic copy of respondent's proposal shall be emailed to rfp@coaers.org**. It is the Respondent's responsibility to appropriately deliver the proposal to COAERS by the specified date and time. COAERS reserves the right to reject any proposal submitted after 5:00 p.m., Central Time, July 30, 2025.

4.6 Proposal Format

Listed below is a description of the minimum amount of information to be included in a proposal submitted in response to this RFP. Proposal information shall be organized into nine (9) parts as described in Exhibit I.

4.7 Inquiries

(a) The Authorized Contact Person for this RFP is Russell Nash, Deputy Executive Director.
(b) Questions about the RFP shall be submitted in writing to Russell Nash, Deputy Executive Director by email to rfp@coaers.org on or before 5:00 p.m. Central Time, July 16, 2025.
(c) COAERS will provide official and final responses to all questions in writing after the Pre-Proposal Conference.

4.8 Proposal Evaluation and Award Process

(a) All notices and communications from COAERS will be sent via email to the Respondent's addresses on file with COAERS.
(b) COAERS may reject any proposal for any reason.
(c) COAERS reserves the right to cancel the procurement at any time.
(d) COAERS reserves the right to waive any irregularities or non-material errors contained in a proposal.
(e) COAERS can amend this RFP at any time at its discretion.
(f) The contract will be awarded to the Respondent who provides the services described herein at the best value for COAERS.
(g) During the evaluation, a COAERS representative may contact Respondent and ask for follow-up questions and/or clarifications to Respondent's proposal. To be eligible for a contract award, Respondent must respond to such requests within the time and manner specified in the request.
(h) COAERS will determine if Best and Final Offers are necessary. A request for a Best and Final Offer is at the sole discretion of COAERS and will be extended in writing.
(i) Award of a contract may be made without a Best and Final Offer.
(j) COAERS may, at its discretion, elect to have Respondents provide presentations to discuss their proposals and respond to questions. COAERS may ask Respondents to travel to Austin Texas to conduct the presentation. Travel and presentation-related expenses for the respondents will be the responsibility of the Respondent.
(k) COAERS may, at its discretion, elect to visit the offices of the Respondents. Travel for the COAERS staff will be at COAERS' expense.
(l) Proposals received shall constitute an offer until a selection is made by COAERS.
(m) COAERS can award a contract upon a Respondent's proposal either in whole or in part.
(n) Proposals received become the property of COAERS.

4.9 Proposal Evaluation Criteria

(a) COAERS may consider any and all information related to the Respondent and its proposal.
(b) COAERS may consider any of the following information when evaluating a proposal in determining which Respondent provides the services at the best value for COAERS, in no particular order of importance:

1. Acceptance of COAERS scope of work
2. Acceptance of COAERS contract terms
3. Experience with Risk Sharing Valuation Studies or Valuations for ADC Plans
4. Respondent's Quality Assurance process
5. Ability to provide deliverables within COAERS timeframe
6. Respondent's approach to its responsibility for actual damages to COAERS due to errors/omissions
7. Approach to protecting COAERS confidential information
8. Knowledge/Experience of personnel assigned to COAERS
9. Performance standards/damages for failures
10. Experience with GASB statements and implementation
11. Approach to evaluating and recommending assumption changes in an Actuarial Experience Study
12. Capacity to handle COAERS work relative to other clients
13. References from Clients similar to COAERS
14. Ability to provide value added consultancy (New GASB statements, compliance, controls, procedures)
15. Low turnover
16. Firm relevant years in business/ability to be viable in the future
17. Firm's reputation (News, ethics problems, errors, sanctions, etc.)
18. Pricing for the 5-year term
19. Communication skills of personnel assigned to COAERS
20. Vendor presentations if conducted

4.10 Presentations/Visits

At the discretion of COAERS, Respondents submitting proposals may be requested to make an in-person presentation in Austin, Texas. During the presentation, Respondent's staff will make a presentation about their proposal and be available for questions. Respondents should expect the presentation to last approximately one and one-half hours. Respondent will be solely responsible for the costs of the presentation, including travel. Not all Respondents may be asked to make presentations. Presentations may be conducted virtually at the discretion of COAERS.

4.11 Final Selection

The COAERS Staff will recommend a Respondent to the COAERS Board of Trustees for consideration for a contract award. Prior to making that recommendation, the COAERS Staff must have successfully negotiated all material terms to the contract for services (e.g., Master Services Agreement).

4.12 Post Contract Point of Contact

After the award of contract, Contractor will work and communicate directly with the COAERS Executive Director, Board Chair, Benefits & Services Committee Chair, and staff.

EXHIBIT A - PROPOSAL SUBMISSION SHEET

By the signature hereon, Respondent certifies the following:

- All statements and information prepared and submitted in the response to this RFP are current, complete, and accurate.
- Respondent has not given, offered to give, nor intends to give at any time hereafter, any economic opportunity, future employment, gift, loan, gratuity, special discount, trip, favor, service to a COAERS Trustee, employee, or immediate family member in connection with the submitted response.
- Respondent accepts the terms of the RFP noting exceptions in Section 4 of Respondent's Proposal.
- Respondent has followed the response format outlined in Section 5.5 of the RFP and fashioned a response accordingly.
- Neither Respondent nor the firm, corporation, partnership, or institution represented by Respondent or anyone acting for such firm, corporation, or institution has (1) violated the antitrust laws of the State of Texas or the federal antitrust laws; or (2) communicated the contents of this proposal either directly or indirectly to any competitor or any other person engaged in the same line of business during the procurement process for this RFP.
- Between the date that this RFP was issued and the date of full execution of the contract, Respondent has not made and will not make contact about this RFP with a COAERS Trustee or employee other than the Authorized Contact Person for the Solicitation.
- Respondent is not listed on the federal government's terrorism watch list.
- This proposal and its terms will be honored and valid through the date of full execution of the contract.
- Prices quoted are firm and fixed for entire contract term.
- This proposal is complete as submitted.
- The person who signs below is authorized to represent and contractually bind the Respondent.

RESPONDENT (COMPANY): _____

AUTHORIZED SIGNATURE: _____

NAME (TYPED/PRINTED): _____

TITLE: _____ DATE: _____

STREET: _____
CITY/STATE/ZIP: _____
TELEPHONE NUMBER: _____
EMAIL ADDRESS: _____
FACSIMILIE: _____
FEDERAL TAX IDENTIFICATION NUMBER: _____

EXHIBIT B - CONFLICT OF INTEREST QUESTIONNAIRE

Texas law requires a person who contracts or seeks to contract with a local governmental entity to file a questionnaire disclosing the person's affiliation and business relationship with each member of the governing body and local government officers of the entity. You should review the rules regarding this disclosure. Then your organization will need to determine if you should complete and include Exhibit B with your proposal. You can find a listing of COAERS Trustees and staff on our website at www.coaers.org. COAERS will not be able to give you an opinion as to whether or not you should submit Exhibit B.

CONFLICT OF INTEREST QUESTIONNAIRE — **FORM CIQ**

For vendor doing business with local governmental entity

This questionnaire reflects changes made to the law by H.B. 23, 84th Leg., Regular Session.

This questionnaire is being filed in accordance with Chapter 176, Local Government Code, by a vendor who has a business relationship as defined by Section 176.001(1-a) with a local governmental entity and the vendor meets requirements under Section 176.006(a).

By law this questionnaire must be filed with the records administrator of the local governmental entity not later than the 7th business day after the date the vendor becomes aware of facts that require the statement to be filed. *See* Section 176.006(a-1), Local Government Code.

A vendor commits an offense if the vendor knowingly violates Section 176.006, Local Government Code. An offense under this section is a misdemeanor.

OFFICE USE ONLY

Date Received

1 **Name of vendor who has a business relationship with local governmental entity.**

2 ☐ **Check this box if you are filing an update to a previously filed questionnaire.**

(The law requires that you file an updated completed questionnaire with the appropriate filing authority not later than the 7th business day after the date on which you became aware that the originally filed questionnaire was incomplete or inaccurate.)

3 **Name of local government officer about whom the information in this section is being disclosed.**

_____
Name of Officer

This section (item 3 including subparts A, B, C, & D) must be completed for each officer with whom the vendor has an employment or other business relationship as defined by Section 176.001(1-a), Local Government Code. Attach additional pages to this Form CIQ as necessary.

A. Is the local government officer named in this section receiving or likely to receive taxable income, other than investment income, from the vendor?

☐ Yes ☐ No

B. Is the vendor receiving or likely to receive taxable income, other than investment income, from or at the direction of the local government officer named in this section AND the taxable income is not received from the local governmental entity?

☐ Yes ☐ No

C. Is the filer of this questionnaire employed by a corporation or other business entity with respect to which the local government officer serves as an officer or director, or holds an ownership interest of one percent or more?

☐ Yes ☐ No

D. Describe each employment or business and family relationship with the local government officer named in this section.

4

_____ _____
Signature of vendor doing business with the governmental entity Date

Adopted 8/7/2015

EXHIBIT C - RESPONDENT CONTACT INFORMATION

PRIMARY CONTACT

Name:
Address:
City, State, Zip:
Office Telephone:
Cell Phone:
Fax:
Email Address:

SECONDARY CONTACT

Name:
Address:
City, State, Zip:
Office Telephone:
Cell Phone:
Fax:
Email Address:

EXHIBIT D - TRADE SECRET ACKNOWLEDGEMENT

I understand that COAERS has no responsibility for protecting information submitted as a trade secret or as confidential unless it is clearly and plainly marked "Trade Secret" or "Confidential" on each applicable proposal page in at least 14-point font.

Check the one box which applies to your response.

☐ My organization **has** submitted information marked "Trade Secret" or "Confidential" on each page it appears in at least 14-point font.

☐ My organization **has not** submitted information marked "Trade Secret" or "Confidential."

ACKNOWLEDGED BY:

AUTHORIZED SIGNATURE: _____

NAME: _____

TITLE: _____ DATE: _____

EXHIBIT E – PROFESSIONAL STAFF INFORMATION

Showcase the partner in charge of the engagement and the professional staff you are assigning to COAERS. At a minimum, the following information must be included:

- Name
- Title
- Contact Information
- Experience with pension plans (or employee benefit plans)
- Education
- Applicable licensure including state of license issuance
- Professional Certifications
- Training Relevant to the COAERS engagement

We encourage Respondents to add more information about their staff assigned to COAERS beyond the minimum information in order to showcase experience, skills, and competencies. In addition, provide a professional resume for each staff member who will be working on the COAERS engagement in Part 2 of your proposal. Finally, indicate who will serve as your organization's Supervising Actuary.

EXHIBIT F – FIRM QUESTIONNAIRE

Place this information in Section 3 of your proposal response. Retype each header and question and then provide your answer including additional information as needed.

Ownership, Organization, and Resources

1. Describe the following about your firm.
   a) Brief history of the firm including the development of your actuarial services team
   b) Ownership structure and corporate form
   c) Number of years your firm has been in business
   d) Confirm that your firm is licensed to do business in the State of Texas.
2. Identify the team members assigned to COAERS and describe their credentials and experience. Identify the team member who will serve as the Supervising Actuary who will be responsible for the work provided to COAERS, describing this individual's credentials and experience.
2. For the team you are proposing for COAERS, identify the team's other clients and indicate which are actuarially determined contribution plans.
3. What process is in place to ensure continuous coverage of our relationship in the absence of primary members of the service team?
4. Disclose and comment on the personnel turnover your organization has experienced with the actuarial team that is or would be assigned to the COAERS account.

Risk Management – Consultancy

It may be the case that the damage caused by an error in the calculations or advice you provide to COAERS may exceed the value of your company and its assets. With this possibility in mind, provide answers to these questions demonstrating your ability to successfully avoid, mitigate, or transfer the risks inherent in your consultancy.

1. Describe in detail your firm's internal quality control process to promote accuracy in the calculations and advice provided to COAERS. Describe how your Supervising Actuary will be responsible for the work provided to COAERS.
2. Describe your firm's support for the team assigned to COAERS to ensure they have the best tools and information to provide quality work to COAERS.
3. Describe your firm's working paper retention period for the work you will provide COAERS.
4. Address whether your firm will use any third parties (subcontractors, non-employees) to provide services outlined in the scope of services? If so, describe the relationship and work to be performed in detail.
5. Disclose your firm's insurance coverage (carrier, coverage, and limits) for this engagement including general liability, errors and omissions, and workers' compensation. Provide proof of coverage in Part 3 of your proposal. Discuss how you

came to the determination of the amount of coverage for your Errors and Omissions (Professional Liability) insurance policy.

6. If your firm wishes to limit its liability for actuarial services provided to COAERS, discuss why your firm has taken that approach to shift the risk to your clients.

Risk Management - Technology & Protection of Confidential Information

1. Describe the major systems supporting your actuarial services. Briefly describe your disaster recovery processes for these systems.
2. Describe the systems that COAERS will be required to use during the actuarial valuation and/or experience study process.
3. Describe your process of receiving electronic confidential or protected information from your clients.
4. Describe in detail how your organization provides electronic and physical security of confidential information once received. Also address your retention policy over confidential information.
5. Discuss how all personnel who deal with personal identifiable information are trained on the protection of that information?
6. Describe your firm's process for identifying a breach of confidential or protected information.
7. Describe your firm's process for notifying affected firms and/or individuals of a breach of confidential or protected information.

Professional Reputation

1. Please provide a summary listing of any major media reports involving your firm. Please limit your listing to those reports published during the past 12 months covering significant issues in your firm's role in providing client services. Include any responses from your firm.
2. Describe any business litigation, arbitration, or regulatory sanctions related to your organization's actuarial and consulting lines of business in the last five years.
3. Disclose whether any of the team members assigned to COAERS has received any professional disciplinary action.

Experience with Risk Sharing Valuation Studies

1. Describe your firm's past or current experience with providing annual valuation information to Actuarial Determined Contribution (ADC) plan to other clients.

2. Describe your firm's approach to providing an annual Risk Sharing Valuation Study to COAERS. Be sure to review the statutory requirements at TX CIV ST Art 6243n Section 10(c) and the Funding Approach section infra. We would like you to demonstrate your competency in this area. Be sure to address your approach to the following:

   (a) Calculation of the Employer's Required Contribution for the upcoming calendar year.

(b) The development of the normal cost of the plan
(c) The development of gain or loss layers
(d) An analysis of where the ADC is with respect to the established City Contribution Corridor minimum and maximum.
(e) If the ADC exceeds the City Contribution Corridor maximum, and the Member Contribution Rate needs to be increased more than 2%, describe your approach to assisting COAERS and the City to plan for actions to be taken to ensure that the goals in the COAERS and City of Austin Joint Funding Policy can be met.

Experience Studies & Actuarial Assumptions

1. Describe your firm's past or current work providing Actuarial Experience Studies to clients.

2. Please address your approach to reviewing and making recommendations to clients about the following actuarial assumptions:

(a) Inflation
(b) Real and Nominal rate of investment return
(c) Post-Retirement Mortality
(d) Plan expenses
(e) Salary increase rates for individuals
(f) Payroll growth rate

Modeling

Describe your modeling capabilities to provide COAERS with possible outcomes of various future experience and/or plan changes. Describe the software/tools you use to produce various modeling data for your clients.

Capacity to Perform Work & Meet Deliverables

Discuss your firm's capacity to handle the scope of work in Section 2 and the deadlines for deliverables in Section 2.10.

Onboarding

Provide a detailed list of deliverables/tasks/timeline for COAERS for your firm to successfully onboard COAERS as a client.

Your Firm's Value Proposition

Provide your firm's value proposition for providing actuarial consulting services to COAERS.

EXHIBIT G – SCOPE OF SERVICES ACKNOWLEDGEMENT

Instructions: For each row indicate with an "X" (in columns B or C) whether your organization agrees to the requirements as written in the RFP or not. If not, provide a comment or alternative language for COAERS to consider in column D. Your proposal will be evaluated, in part, on your acceptance of COAERS' scope and requirements as written considering any impediments we believe exist for your firm to perform work or contact with COAERS.

Scope of Service & Requirements Description	Agree to Meet as Written	Cannot Agree to Meet as Written	Comments/Replacement Language
2.1 Personnel			
2.2 Annual Actuarial Valuation (Risk Sharing Valuation Study)			
2.3 GASB Statement No. 67 Reporting and Accounting Information			
2.4 GASB Statement No. 68 Financial Reporting Information for the City of Austin Texas			
2.5 Annual OPEB Allocation			
2.6 Interest Rate Credited to Member Accounts Recommendation			
2.7 Annual Finanical Statement Actuarial Assistance			
2.8 Periodic Experience Studies			
2.9 Periodic Asset/Liability Study Assistance			
2.10 Deadlines for the Completion of Core Services			
3.1 Contract Period			
3.2 Annual Performance Evaluation			
3.3 Personnel			
3.4 Terms that Survive Termination			
3.5 Termination			
3.6 Confidentiality and Open Records			
3.7 Work Made for Hire			
3.8 Insurance			
3.9 Indemnification			
3.10 Applicable Law and Venue			
3.11 No Waiver of Sovereign Immunity			
3.12 Independent Contractor			
3.13 Patent, Trademark, Copyright and Other Infringement Claims			
3.14 Supporting Documents, Retention, Right to Audit			
3.15 Cooperation with an Actuarial Audit			
3.16 No Conflicts			
3.17 Financial Interests; Gifts			
3.18 Professional Standards			
3.19 Choice of Law			

Provide one price for each of the services below for each year of the contract. Base your price on the description of the services listed in Section 2 of the RFP.

Fixed Price Items for Core Services (as described in Section 2)	2026 Fixed Price Per Item	2026 Estimated Hours	2027 Fixed Price Per Item	2027 Estimated Hours	2028 Fixed Price Per Item	2028 Estimated Hours	2029 Fixed Price Per Item	2029 Estimated Hours	2030 Fixed Price Per Item	2030 Estimated Hours
Annual Actuarial Valuation (Risk Sharing Valuation Study)	$ -		$ -		$ -		$ -		$ -	
Annual GASB Statement No. 67 Reporting & Accounting Information	$ -		$ -		$ -		$ -		$ -	
Annual GASB Statement No. 68 Financial Reporting Information for the City of Austin Texas	$ -		$ -		$ -		$ -		$ -	
Annual QEBA Allocation	$ -		$ -		$ -		$ -		$ -	
Annual Interest Rate Credited to Member Accounts Recommendation Letter	$ -		$ -		$ -		$ -		$ -	
Annual Financial Statement Actuarial Assistance	$ -		$ -		$ -		$ -		$ -	
2027 Assistance for Asset/Liability Study			$ -							
2030 Experience Study									$ -	

Provide your hourly rates for the following categories of staff provided to COAERS.

Hourly Rates (Exclusive of Travel)	2026 Hourly Rate	2026 Estimated Hours	2027 Hourly Rate	2027 Estimated Hours	2028 Hourly Rate	2028 Estimated Hours	2029 Hourly Rate	2029 Estimated Hours	2030 Hourly Rate	2030 Estimated Hours
Supervising Actuary	$ -		$ -		$ -		$ -		$ -	
Other Actuary	$ -		$ -		$ -		$ -		$ -	
Consultant	$ -		$ -		$ -		$ -		$ -	
Analyst	$ -		$ -		$ -		$ -		$ -	
Support	$ -		$ -		$ -		$ -		$ -	
Other										

Provide any relevant information to your pricing provided above. For example, include assumptions, exclusions, and/or desired payment terms.

Additional Pricing Information

EXHIBIT I – RESPONDENT'S PROPOSAL FORMAT AND REQUIREMENTS

Proposal information shall be presented in the manner and in the order listed below. Your proposal should have nine (9) parts as described below. Each part should be clearly identified. A checklist is included to help you organize your response.

Part 1. Submission Documents
Part 1 should include completed Exhibits A, B, C, and D in order.

Exhibit B Note: Texas law requires a person who contracts or seeks to contract with a local governmental entity to file a questionnaire disclosing the person's affiliation and business relationship with each member of the governing body and executive officers of the entity. A list of these individuals can be found in Section 4.15. You should review the rules regarding this disclosure. An FAQ publication can be found at: www.oag.state.tx.us/AG_Publications/pdfs/conflict_easy.pdf. Then, your organization will need to determine if you should complete and include Exhibit B with your proposal. COAERS will not be able to give you an opinion as to whether you should submit Exhibit B.

Part 2. Professional Staff Assigned to COAERS
Provide the information requested in Exhibit E identifying your Supervising Actuary. Also provide resumes for the staff you are assigning to COAERS. Finally, include an organizational chart of your team which will serve COAERS.

Part 3. Firm Information
Provide the following information about your organization:

1. Corporate organization documentation (e.g., Certificate of Incorporation),
2. Insurance certificates for the following:
   a. Errors and Omissions
   b. Commercial General Liability
   c. Automobile Liability
   d. Workers Compensation
3. Your organization's 2023 and 2024 audited financial statements (with auditor's report),
4. Your organization's answers to the Questionnaire in Exhibit F.

Part 4. Scope of Services & Requirements Acknowledgement Chart
Include a completed Exhibit G, "Scope of Services & Requirements Acknowledgment Chart.xls." Then, you shall clearly identify and discuss your exceptions noted in Exhibit H. Exceptions should be clearly stated, indicating whether Respondent can agree to the entire provision, just a portion of the provision, or if Respondent wishes to suggest an alternative. If the latter, the alternative should be clearly stated. COAERS reserves the

right to deem any Proposal not responsive because of any exception and/or revision. Respondents not taking any exception shall so state in this section of their Proposal.

Part 5. Samples of Work

Provide samples of your firm's work.

1. Actuarial Valuation
2. Risk Sharing Valuation Study (or similar)
3. Experience Study
4. GASB 67 report
5. GASB 68 report
6. Client communication
7. Other samples as the Respondents wish to include

Part 6. Cost Proposal

Part 6 should include a completed Exhibit H, "Cost Proposal" including the hours of work you estimate. You may provide any other pricing information you think is relevant.

Part 7. Contracts

Part 7 should include your contract (Master Services Agreement) for the scope of services in the RFP (Section 2) and amended for the terms and conditions (Section 3).

Part 8. References

Part 8 should include a minimum of four (4) references from clients for whom similar services were performed. Include a project description, contact names, position, company name, telephone number(s), and email address(es) for each reference listed. COAERS will contact each reference during the evaluation process.

Part 9. Additional Information

Part 9 is the space for you to provide any information that is relevant to the scope of services which was not covered in the previous sections. You are encouraged to provide any and all information in this section that differentiates your organization and demonstrates that your organization is the best value for COAERS.

PROPOSAL CHECKLIST

General Items

☐	Proposal Table of Contents
☐	Page Numbers
☐	Trade secrets/confidential information marked as such 14-point font on each page
☐	One electronic original emailed to rfp@coaers.org no later than 5PM Central 7/30/25

Proposal Format

	Proposal Part	What to Include
☐	Part 1	Exhibit A - Proposal Submission Sheet
☐	Part 1	Exhibit B - Conflict of Interest Questionnaire (if applicable)
☐	Part 1	Exhibit C – Respondent Contact Information
☐	Part 1	Exhibit D – Trade Secret Acknowledgement
☐	Part 2	Exhibit E – Professional Staff Information (ID Your Supervising Actuary)
☐	Part 2	Professional resumes for each staff member assigned to COAERS
☐	Part 2	Organizational Chart of Staff Assigned to COAERS
☐	Part 3	Corporate organization documentation (e.g. Certificate of Incorporation)
☐	Part 3	Proof of insurance coverage
☐	Part 3	Your firm's most recent Audited Financial Statements and Auditor's Report
☐	Part 3	Exhibit F - Firm Questionnaire
☐	Part 4	Exhibit G - Scope of Services & Requirements Acknowledgement Chart
☐	Part 4	Detailed discussion of all exceptions taken in Exhibit G
☐	Part 5	Samples of Work
☐	Part 6	Exhibit H - Cost Proposal + Hours
☐	Part 7	Contract/Master Services Agreement including terms in Sections 2 & 3
☐	Part 8	References - minimum of four (4)
☐	Part 9	Additional Information from Respondent